Therefore, the layout of this chapter is different from most other chapters in this book.

The above Results Snapshot shows a chart pattern that underperforms when compared to other Fib patterns. The average drop in bull markets is 13%, which is below the average drop of 15% for non-Fibonacci-based patterns. Both measure the drop to the ultimate low, but start from different points (Fibonacci patterns use the high at point D, and regular-based patterns use the breakout price).

Bear market patterns perform substantially better, with declines averaging slightly over 20%, but that's still short of the 22.2% average decline of non-Fibonacci-based patterns. That's an apples-to-apples comparison, but the butterfly was meant to predict a turn at point D and see price drop from there.

How well does that notion work? One measure shows that price turns down at D at least 85% of the time on average. So if you can find this pattern, you will know at what price the stock is expected to turn lower. That's invaluable information. We'll investigate how far down price is expected to drop in the Statistics portion of this chapter. Until then, let's capture a bearish butterfly and see what it looks like.

Tour

Figure 16.1 shows one example of a bearish butterfly chart pattern. After a strong move higher, which started in December 2018, price began forming the pattern at minor high X. A retrace followed that took price down to the second turn, A. Price recovered to B and that location was determined by a Fibonacci ratio of leg BA to XA.

After B, point C was another Fibonacci-based turn found by the retrace of leg BC to BA. We'll discuss that in more detail in the next section.

Wrapping up the pattern was point D, which used a Fibonacci extension of the BC move to find the turn. Price took a while to turn downward, but it did when it made a strong move lower to bottom at G. The recovery was quick, though, with price ending the day near the top of the price bar at G followed by an upward breakout at E.